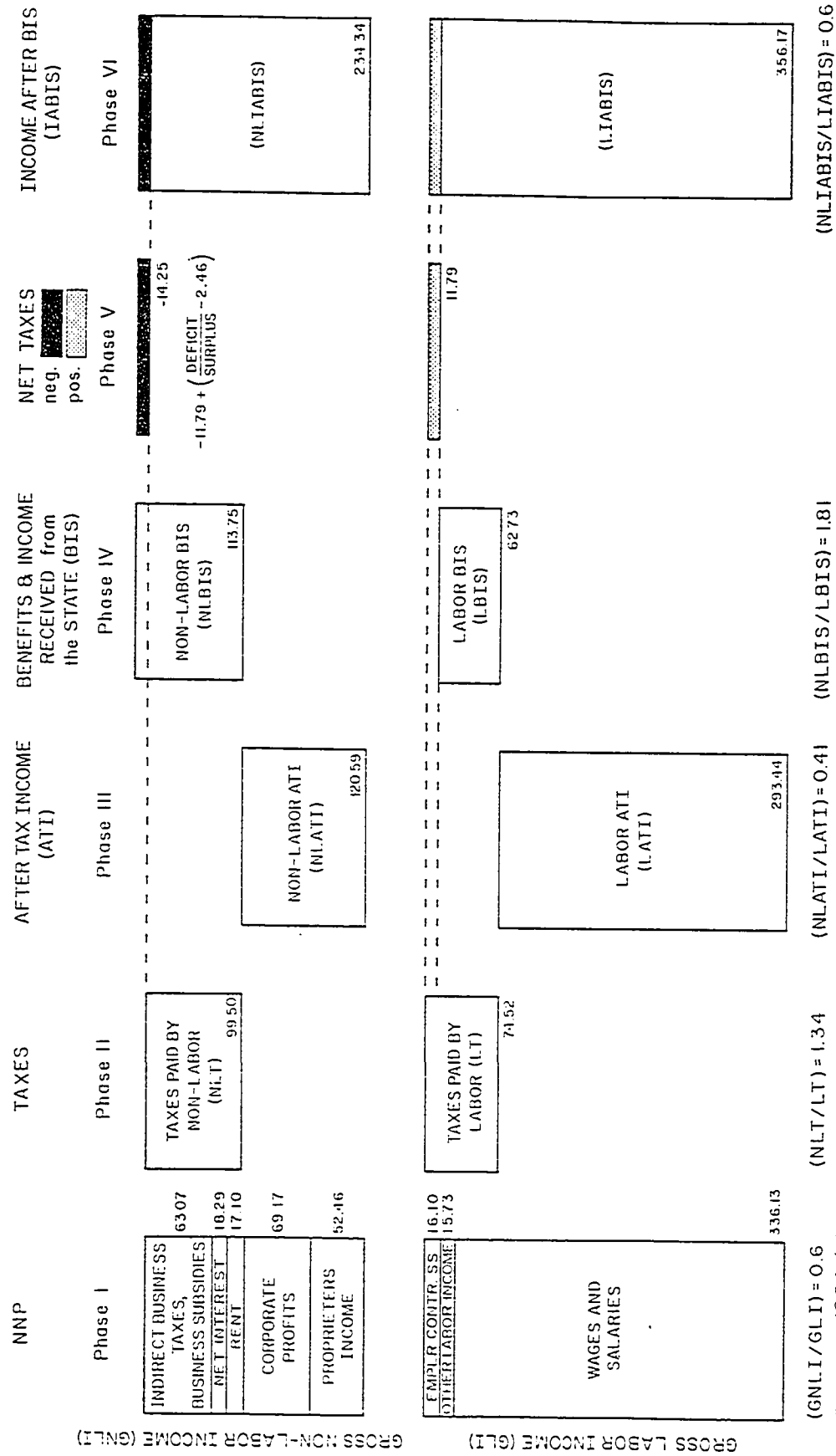


Figure 1. NET NATIONAL PRODUCT and INCOME in NIPA and TAXES, EXPENDITURES, and NET INCOME^a



^a - Based on 1964 data

Gross Labor Income (GLI)

- . minus Taxes Paid by Labor (LT)
- . equals After-tax Income (to Labor) (LATI)

Gross Non-Labor Income (GNLI)

- . minus Taxes Paid by Non-Labor (NLT)
- . equals After-tax Income to Non-Labor (NLATI)

Phase IV: In this phase government expenditures are allocated to labor and non-labor, based on some assumptions regarding their content and intermediary calculations, obtaining each segment's share. The procedure itself will be outlined in the next section and details will be presented in Appendix II.

It must be stated here that the concept of "non-labor" in the context of allocating government expenditures, and regarding 'net-tax paid by non-labor', refers not only to the share of the tax burden or government transfer to the capitalist class but also the state's absorption of tax revenues for defraying costs of social reproduction as well. Obviously, distinguishing the portion of net non-labor tax enables us to see the role of the state in the distribution process in relation to capitalist class. This latter project will also be attempted as a part of a larger study later.

Phase V: This step allows us to develop the concept of "net-tax" both for labor and non-labor, based on Phase

II and IV findings, i.e., taxes paid and benefits and income received. The net-tax category is obtained by subtracting benefits and income from taxes.

Phase VI: Depending upon the magnitude and sign of the net-taxes, after-tax incomes are now adjusted and after-benefits incomes obtained. These last adjusted income categories then allow us to get a more accurate picture of the State's distributive effect on labor.

B. Method of Calculation of Net-Tax

In this section the method of calculation of net-tax, based on NIPA categories, is outlined. When discussing taxation and government expenditures, related assumptions regarding allocations are also mentioned.

1. Taxation: Background and Structure

For the purpose of this approach and study, and taking into consideration limitations imposed by the data sources, total federal, state and local taxes are broken into nine categories

Taxes

1. Personal Income Taxes
2. Contributions for Social Insurance
3. Corporate Profit Taxes
4. Estate and Gift Taxes
5. Personal Non-taxes and Other Taxes
6. Motor Vehicle Licenses

7. Indirect Business Taxes
8. Property Taxes
9. Surpluses from Government-administered Lotteries and Parimutuels.

Before discussing what part of each category could be regarded as deriving from labor income, let us briefly describe the content of each.

Income Taxes: Although the Civil War prompted the imposition of income tax 'as and emergency measure' on the federal lever, from 1861 to 1872³, it was first instituted by the 'Sixteenth Amendment of 1913', and became the principal source of federal revenue in the 1920's. While comprising 60% of federal revenue at that time, this ratio decreased to 25.6% in 1927 and to 16.9% in 1940 when "revenue from the income taxed suffered from the decline in national income" . During the later years, due to both the expansion of the tax base as a result of high economic growth and extension of coverage, the income tax portion of federal revenue increased to 46% by 1980. On the state and local level, income tax was first instituted in 1911 by Wisconsin.⁴ At present, income tax is in effect in all but six states, and has acquired increasing importance, particularly since the 1960's, reaching 6.3% of state and local revenues in 1966 and approximately 11% in 1980. No significant changes has occurred in either of the three levels of

government in the share of income taxes since 1952, generally fluctuating around 30-35 percent.⁵

Contributions for Social Insurance (Payroll Taxes):

Although this item is technically labelled 'contribution,' it is actually a kind of compulsory tax levied on payrolls and collected from both employers and employees. (Hyman, 1983, p. 371). It was originally instituted with the creation of the Social Security System after the Social Security Act of 1935. The taxes collected under this provision have been used to finance various benefits, such as retirement, old-age and survivors, disability and hospital insurance, which are known as OASDHI. Employee employer contributions are based on the same rate--6.13% each in 1980 and scheduled to increase to 7.65% in 1990 by the new Social Security Amendment of 1977. (Musgrave and Musgrave, 1980, p. 505). "Taken by itself, this tax is regressive (i.e., the ratio of tax revenue to income falls as we move up the income scales) over the middle to-upper income ranges." (Musgrave and Musgrave, 1980, p. 331).

Although Personal Income Tax remains the largest component, contributing 35% of the 1980 total, contributions for Social Insurance are the second largest component with 24% in 1980, up from 10% in 1952.

Corporate Profit Tax: This can essentially be considered a federal tax (approximately 90% of total

Corporate Profit Tax is collected at this level), although nowadays most states also use some form of corporate tax with lower rates than the federal. It was first instituted in 1909, at a nominal rate of only 1%.⁶ During later years, it changed from 10-13% in the 1920's to 46-52% since 1951. (Smith, 1982, p. 916). With the new limitations introduced by the Revenue Act of 1978, the progressive rate schedule, ranging between 15% to 40%, has been applied for only the first \$100,000 of corporate income. Starting in 1983, amounts in excess of \$100,000 will be taxed at a nominal rate of 46%. However, in reality it would be naive to assume these to be the effective rates. Concerning the latter, Hyman states that "...after considering all the loopholes, effective rates averaged about 30% while the marginal effective tax rates for all corporations are estimated to 34.4%" (Hyman, 1983, pp. 535-6). The contribution of corporate profit tax to the total tax revenue has decreased sharply, especially during the last 30 years or so, from 22% in 1952 to 10% in 1980.

Estate and Gift Taxes: The original idea of having estate and gift taxes was to limit transfers (via gifts or inheritances) and hence concentration of wealth in the hands of succeeding generations.

The federal government levies taxes on property transfers before death in the form of gift taxation

which as such "...prior to 1977...was imposed independently of the estate tax at a somewhat lower rate. Since then both taxes have been combined into a uniform system..." (Musgrave and Musgrave, 1980, p. 502). Federal taxes are levied on estates while most state taxes (in 32 states) are levied on inheritances which are sometimes referred to as "death duties." Some 10 other states use estate but no inheritance taxes; 16 states also impose gift taxes. Trust funds allow the estate tax to be skipped from one generation to the next, e.g., an estate left to a spouse is taxed as one-half the normal rate. The estate and gift taxes have historically constituted less than 2% of the government tax revenues; in 1980 it was around 1%.

Personal Non-taxes and other Taxes and Motor

Vehicle Licenses: This category, in terms of its contents, changes from one statistical source to another. According to the NIPA framework "non-taxes include passport fees, fines and penalties, donations, and tuitions and fees paid to schools and hospitals operated mainly by government" (BEA, 1981, p. xii). The non-tax item at the federal level is very small compared to its counterpart at the state and local level, e.g., in 1980 the former amounted to \$0.232 billions, while the latter reached \$28.084 billions. The item called "other taxes", which exists only at the state and local level, is also negligible and unclear as to its content,

most probably consisting of certain other personal payments to government agencies. It amounted to \$1.022 billions in 1980. Motor vehicle licenses is a fee paid to state governments, treated separately in the NIPA framework.⁷ Combined personal non-taxes, other taxes and motor vehicle licenses fees as a share of total tax revenues have changed since 1952, from approximately 2% to 4%.

Indirect Business Taxes and Property Taxes: These are the most problematic items in NIPA's classification of taxes. In general, an 'indirect tax' refers to a tax collected from one segment of society with the assumption that it will eventually be paid "indirectly" by another (Hyman, 1983, p. 369). One immediate problem with the current definition of indirect business taxes in the NIPA framework stems from the treatment of houses and buildings owned by non-profit institutions as businesses.⁸ As it was noted earlier, NIPA regards private home-owners as individual capitalist firms who sell the services of their buildings to themselves. This approach overestimates the portion of taxes paid by "businesses". Indirect business tax and non-tax accruals at the federal level include excise taxes, custom duties and non-taxes; at the state and local level, they include sales taxes, property taxes and others. The three components of the Federal portion combined roughly correspond to 18.2% of total indirect

business tax revenue, while the property tax itself (real estate and farms and businesses) make up 32.1% sales taxes 38.9%, and other 10.8%. On the other hand, personal property tax is listed as part of personal taxes at the state and local level and roughly corresponded to 2% of total property taxes in 1980. the rest of the property taxes, comprising 89% of the total, consists of 50% from rental homes or owner-occupied dwellings, 43% from buildings, land and equipment of businesses and farms, and 5% from utility real estate (Sazama, n.d., p. 85). Property taxes as such have continued to dominate the local tax structure, providing most of the local tax revenue (Musgrave and Musgrave, 1980, p. 470). Property taxes as a share of total tax revenue have changed from 9.6% in 1952 to 8.3% in 1980.

Tax Structure

Traditionally, tax structure "refers to the mix and types of taxation used by governing bodies" which, in that sense, is considered by mainstream public finance practitioners as a sound measure "of the relative importance of various kinds and methods of taxation" (Hyman, 1983, p. 371). Still, even a cursory glance at the tax structure reveals the pro-corporate bias in the taxation policies pursued by the state. For example, while the share of corporate income tax in total revenue fell from 22% in 1952 to approximately 10% in 1980, social insurance contributions rose from 10% to 24% during the

same period. Joseph Pechman, in his Federal Tax Policy also indicates this very favorable tax treatment that corporations have been receiving through various liberalized provisions regarding capital consumption allowances accelerated depreciation, and investment tax credits, etc. On the other hand, the phenomenon of the decreasing share of corporate income tax with the increasing share of payroll tax in total tax revenue can be viewed as partially influenced by the falling profit-wage ratio. The latter decreased from 0.216 in 1952 to 0.152 in 1975. i.e., a 30% reduction (Shaikh, 1980, p. 66), while the share of corporate income tax in total tax revenue decreased 55% between 1952 to 1980. Table I is of interest in demonstrating the tax structure in the U.S. for the period 1952-1980. In terms of different levels of government, while the federal one relies heavily on taxation of both personal and corporate income, state and local governments respectively rely on taxes levied on private consumption and on real estate and personal properties.

2. Method of Calculation of Tax Burden

The question as to what portion of various taxes can be attributed to labor arises in determining the shares of total taxes paid by labor and non-labor.⁹

Considering personal income taxes, both at the federal, state, and local levels, some approximations are needed to determine the portion attributable to